

SALES DOMAIN

Order Cancellation

Knowledge Base & Policy Reference

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1. Overview of Order Cancellation

Order cancellation is the formal process by which a customer or business representative voids a confirmed purchase order before the goods are delivered or the service is rendered. Within the Sales domain, cancellations are one of the most operationally sensitive workflows because they directly impact revenue recognition, inventory management, fulfilment scheduling, and customer satisfaction scores.

This knowledge base covers every aspect of the cancellation lifecycle—from the moment a cancellation request is submitted to final confirmation, refund processing, and post-cancellation analytics. It serves as a ground-truth reference for RAG systems, customer service agents, sales managers, and automated policy engines.

1.1 Why Cancellations Matter

- **Revenue Impact:** Every cancellation directly reduces realized revenue for a period. High cancellation rates distort quarterly forecasts and can trigger inventory write-downs.
- **Customer Retention:** A poorly handled cancellation—slow confirmation, delayed refunds, lack of communication—often converts a one-time cancellation into permanent churn.
- **Operational Cost:** Processing a cancellation consumes resources: warehouse labour to restock items, finance time to issue refunds, and support-agent bandwidth.
- **Data Integrity:** Unprocessed cancellations corrupt OMS records, leading to inaccurate inventory counts and false fulfilment signals.
- **Compliance:** In many jurisdictions (EU Consumer Rights Directive, US FTC, India Consumer Protection Act 2019) businesses must honour cancellations within defined windows.

1.2 Scope

This document applies to all order types: e-commerce, telephone, B2B purchase orders, subscription renewals, and marketplace-integrated orders. Warranty returns and exchanges are governed by a separate Returns & Exchange Policy document.

2. Types of Cancellations

2.1 Customer-Initiated Cancellations

Occur when the buyer voluntarily requests their order be voided. Common reasons: accidental duplicate orders, change of mind, better price found, financial constraints, or dissatisfaction with estimated delivery dates.

Sub-categories:

Type	Trigger	Typical Window	Refund Eligibility
Pre-payment cancel	Order placed but payment not yet captured	Anytime before payment capture	Full refund — no charge made
Post-payment / pre-dispatch	Payment captured; item not yet shipped	Within 30 min – 24 hours (varies by category)	Full refund within 3–5 business days

Type	Trigger	Typical Window	Refund Eligibility
Post-dispatch (in-transit)	Shipment created and picked up by carrier	Before delivery attempt	Refund after return receipt (7–14 days)
Subscription cancellation	Recurring billing cycle active	Before next billing date	Pro-rated refund or store credit

2.2 Seller / Business-Initiated Cancellations

Occasionally the business must cancel an order for operational, legal, or quality reasons. These must be communicated proactively with a full refund and, where applicable, a goodwill gesture such as a discount coupon.

- Out-of-stock or inventory discrepancy discovered after order confirmation
- Payment fraud flags raised by the fraud-detection system
- Pricing error or system glitch resulting in incorrect pricing
- Regulatory restriction on shipping to the customer's address
- Product recall or safety advisory issued by the manufacturer
- Force majeure events affecting fulfilment capacity

2.3 System-Triggered Automatic Cancellations

The OMS automatically cancels orders under specific conditions without manual intervention:

- Payment not received within 24 hours (COD hold orders)
- Address validation failure after 3 correction attempts
- Carrier pickup failure on 2 consecutive scheduled attempts
- Duplicate order detected by the fraud-prevention layer

Note: System-triggered cancellations generate an automatic customer notification and always include a full refund. The sales team receives a daily digest of all auto-cancelled orders for review.

3. Cancellation Policy Details

3.1 Cancellation Windows by Product Category

The permissible cancellation window varies by category due to differences in fulfilment complexity and perishability.

Product Category	Pre-Dispatch Window	Post-Dispatch Allowed?	Special Conditions
Electronics	Up to 2 hours post-order	No (unless DOA)	Seal must be intact on return
Apparel & Fashion	Up to 24 hours	Yes, before delivery	Tags must not be removed
Perishables / Food	Up to 30 minutes	No	No exceptions after dispatch

Product Category	Pre-Dispatch Window	Post-Dispatch Allowed?	Special Conditions
Furniture & Large Items	Up to 48 hours	Partial (before loading)	Cancellation fee may apply
Digital / Software	Up to 15 min (before activation)	No	License key not yet generated
B2B / Bulk Orders	As per contract SLA	Case-by-case	Written notice required
Subscription Plans	Before next billing cycle	N/A	Service continues until period end

3.2 Non-Cancellable Orders

The following order types are explicitly non-cancellable once confirmed:

- Customised or personalised products (engraved, monogrammed, bespoke dimensions)
- Made-to-order items that have entered the manufacturing stage
- Perishable goods after the 30-minute grace window
- Event tickets and time-bound services after the event date
- International orders that have cleared customs at the destination country

3.3 Partial Cancellations

Customers may remove one or more line items from a multi-item order, provided remaining items meet the minimum order value threshold and the items to cancel have not yet entered the packing stage. Refunds for cancelled line items are processed independently. Shipping fees are recalculated based on retained items.

4. Cancellation Request Process

4.1 Channels for Submitting a Cancellation Request

Self-Service Portal / App: My Orders → Select Order → Cancel → Select reason → Confirm. Available 24/7. Instant OMS update.

Live Chat: Agent verifies identity, checks eligibility in real-time, processes cancellation within the chat.

Email: Send to orders@company.com with subject 'CANCEL: [Order ID]'. Acknowledged within 1 hour, processed within 4 hours.

Phone: IVR provides self-service option. Agent-assisted cancellation available. Call recorded for QA.

AI Chatbot: Handles pre-dispatch cancellations automatically. Complex cases escalated to a live agent.

4.2 Step-by-Step Cancellation Workflow

Step 1 – Request Received: Customer submits request. System stamps timestamp and assigns a Cancellation Request ID (CR-ID).

Step 2 – Identity Verification: System/agent verifies identity using Order ID + registered email or last 4 digits of payment.

Step 3 – Eligibility Check: OMS checks: (a) Order status, (b) Product category window, (c) Dispatch status from WMS, (d) Any active promotions altering policy.

Step 4 – Approval / Rejection: If eligible: order status changes to 'Cancellation Requested'. If ineligible: customer receives detailed rejection reason with alternatives.

Step 5 – Warehouse / Carrier Notification: WMS receives stop-processing signal. If dispatched, carrier is notified via API to attempt interception.

Step 6 – Refund Initiation: Finance system triggers refund to original payment method per Section 5 timelines.

Step 7 – Customer Confirmation: Customer receives email/SMS with CR-ID, refund amount, and expected credit date.

Step 8 – Record Update: CRM, OMS, and inventory systems updated. Cancelled order logged for analytics.

5. Refund Policy and Timelines

5.1 Refund Methods and Timelines

Payment Method	Refund Destination	Processing Time	Customer Visibility
Credit / Debit Card	Original card	5–7 business days	Bank statement entry
Net Banking	Originating bank account	3–5 business days	Bank statement
UPI / Instant Payment	Linked UPI ID	1–3 business days	UPI app notification
Digital Wallet	Wallet balance	Within 24 hours	Wallet transaction history
Cash on Delivery (COD)	Bank account (NEFT/IMPS)	5–7 business days after IFSC submission	SMS + email
Gift Card / Store Credit	Store credit balance	Within 2 hours	Account dashboard
EMI / Buy Now Pay Later	EMI cancelled; future instalments stopped	3–5 business days for paid instalment refund	Lender notification

5.2 Refund Deductions

In most cases cancellations result in a full refund. However, deductions may apply:

- Cancellation fee for large furniture items cancelled after warehouse packaging is complete: up to 5% of order value or a flat fee as specified in the product listing.
- Return shipping fee for post-dispatch cancellations where the carrier has already collected the package and a recall is required.
- Non-refundable convenience fee if explicitly disclosed at checkout (B2B accounts only).
- Partial refund for subscriptions cancelled mid-cycle where service has been partially consumed.

Important: No deduction applies for seller-initiated or system-triggered cancellations. Customers always receive a 100% refund in these cases.

6. Escalations and Exceptions

6.1 When to Escalate

- Customer disputes the cancellation rejection decision
- Refund not received beyond the stated SLA + 3 additional business days
- Order marked as delivered but cancellation was confirmed
- Duplicate charges on the customer's account
- Cancellation request involves a suspected fraudulent transaction
- High-value order (above \$500) requiring manager approval
- Corporate / B2B accounts with contract-specific cancellation terms

6.2 Escalation Path

Level 1 – Support Agent: Handles standard cancellations. Resolution target: within 30 minutes.

Level 2 – Senior Agent / Team Lead: Handles disputed rejections and refund delays. Resolution target: within 4 business hours.

Level 3 – Sales Operations Manager: Handles high-value exceptions, B2B disputes, fraud-related cases. Target: 1 business day.

Level 4 – Finance / Legal: Handles charge-back cases, regulatory complaints, and consumer court referrals.

7. Frequently Asked Questions

Q: Can I cancel an order after it has been shipped?

A: Once shipped, cancellation is possible only before a delivery attempt. Contact support immediately. If delivery has been attempted, refuse the package; a refund is processed after warehouse receipt (7–14 business days).

Q: What is the fastest way to cancel an order?

A: The self-service portal or mobile app. Cancellations are processed automatically within minutes when the order is still in 'Processing' or 'Confirmed' status.

Q: Will I receive a full refund if I cancel?

A: Almost always yes. Full refund to your original payment method is guaranteed for pre-dispatch cancellations. Post-dispatch cancellations may incur a return shipping fee. See Section 5 for timelines.

Q: Can I cancel only part of my order?

A: Yes. Navigate to My Orders, select the specific item(s) to cancel, and follow the flow. Items already in the packing stage cannot be partially cancelled.

Q: What happens if my cancellation request is rejected?

A: You'll receive an email explaining the reason. Alternatives such as return after delivery, exchange, or store credit may be offered. You can also raise an escalation.

Q: How long does it take to get my refund?

A: Digital wallet: within 24 hours. Credit/debit card: 5–7 business days. COD: 5–7 business days after submitting bank details.

Q: I cancelled but my card was still charged. What do I do?

A: Wait 1 business day for processing. If the charge persists, contact support with your CR-ID. Finance will investigate and reverse the charge within 2 business days.

Q: Can a business (B2B) cancel a purchase order?

A: B2B cancellations are governed by your master purchase agreement. Typically permitted within 48 hours of PO issuance with written notice. Post-dispatch cancellations may attract a restocking fee per contract.

Q: What reason should I select when cancelling?

A: Choose the most accurate option: 'Ordered by mistake', 'Found better price', 'Delivery date too late', 'Changed my mind', 'Duplicate order'. Your selection does not affect eligibility.

Q: Will a cancelled order affect my account standing?

A: Occasional cancellations have no effect. Accounts with a cancellation rate above 30% may be flagged; repeated abuse may lead to temporary ordering restrictions.

8. Key Metrics and Reporting

8.1 KPIs for Cancellation Management

KPI	Definition	Target Benchmark
Cancellation Rate	% of orders cancelled out of total orders placed	< 3%
Seller-Init. Rate	% of cancellations initiated by the business	< 0.5%
Time to Cancel Confirm	Avg time from request to OMS cancellation status update	< 15 min
Refund SLA Adherence	% of refunds processed within stated timeline	> 98%
Escalation Rate	% of cancellations escalated beyond Level 1	< 5%
CSAT (post-cancel)	Post-cancellation survey score	> 4.2 / 5
First-Contact Res.	% resolved without follow-up contact	> 90%

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